Amazon.com, Inc.

NASDAQ: AMZN | Consumer Discretionary / Cloud | 10 July 2026

BUY **Target Price: $275** | CMP: $247 (09-Jul-2026) | Upside: +11%

Investment Summary

Amazon's FY2025 confirmed the story that matters: this is now a high-margin business wearing a low-margin costume. Revenue reached $716.9 billion (+13%), but the headline is profitability — operating income jumped to $80.0 billion and net income to $77.7 billion (EPS ~$7.20), as AWS, advertising and retail efficiency compounded. Operating margin has expanded from ~2% in 2022 to ~11%.

The three profit engines — AWS (the cash machine), a $68bn+ advertising business, and a structurally more efficient retail/logistics operation — are each growing faster than the top line. Free cash flow is temporarily depressed by an aggressive AI-infrastructure capex cycle, which is a feature, not a bug, if AWS re-accelerates.

At ~29x trailing earnings for a company compounding operating income far faster than revenue, we see fair value near $275 on a sum-of-the-parts basis. We rate it BUY.

Snapshot

Metric	Value	Note
Market cap	~$2.66 trillion	≈10.7bn shares
FY2025 revenue	$716.9bn (+13%)	Product + service mix
FY2025 op income / EPS	$80.0bn / ~$7.20	Op margin ~11% (was ~2% in 2022)
Valuation	~29x P/E; ~17x EV/EBITDA	AWS + Ads drive the profit
Free cash flow	Depressed by AI capex	Investment cycle, not deterioration

FY2025 Results Review

Total revenue of $716.9bn (+13%) split between net product sales ($296bn) and net service sales ($421bn) — the higher-margin services line now the larger and faster-growing half. Operating income of $80.0bn (+17% at the margin line) reflects AWS profitability, advertising scale and lower cost-to-serve in retail. Net income was $77.7bn. Operating cash flow was strong (~$140bn), but free cash flow was compressed by ~$132bn of capital expenditure as Amazon builds out AI and data-centre capacity — the key swing factor for the FCF story ahead.

Valuation

Amazon is best valued sum-of-the-parts, because a blended P/E understates the mix shift. AWS — high-margin, high-growth — carries the bulk of the value; advertising is a ~$70bn, high-incremental-margin business hiding inside 'services'; and retail is now a modestly profitable, cash-generative operation. On ~17x EV/EBITDA and ~29x trailing earnings against rising margins, our parts-based fair value is about $275, ~11% above the current price.

The risk-reward hinges on the capex cycle converting to AWS growth and free-cash-flow recovery. If it does, the earnings base steps up; if AI demand disappoints, FCF stays pressured. Figures are illustrative; see the accompanying model.

Key Risks

- Elevated AI / data-centre capex (~$132bn) suppressing free cash flow.
- AWS growth competition from Microsoft Azure and Google Cloud.
- Consumer / retail cyclicality and margin sensitivity.
- Regulatory and antitrust scrutiny across retail and cloud.
- Execution risk on the pace of margin expansion.

Company Overview

Amazon is a global leader in e-commerce, cloud computing (Amazon Web Services), digital advertising, and devices/streaming. AWS is the profit engine and the world's largest cloud-infrastructure provider; the advertising business is among the fastest-growing at scale; and the retail/logistics network, after years of investment, is now a structurally more profitable operation. The combination gives Amazon multiple independent growth and margin levers.